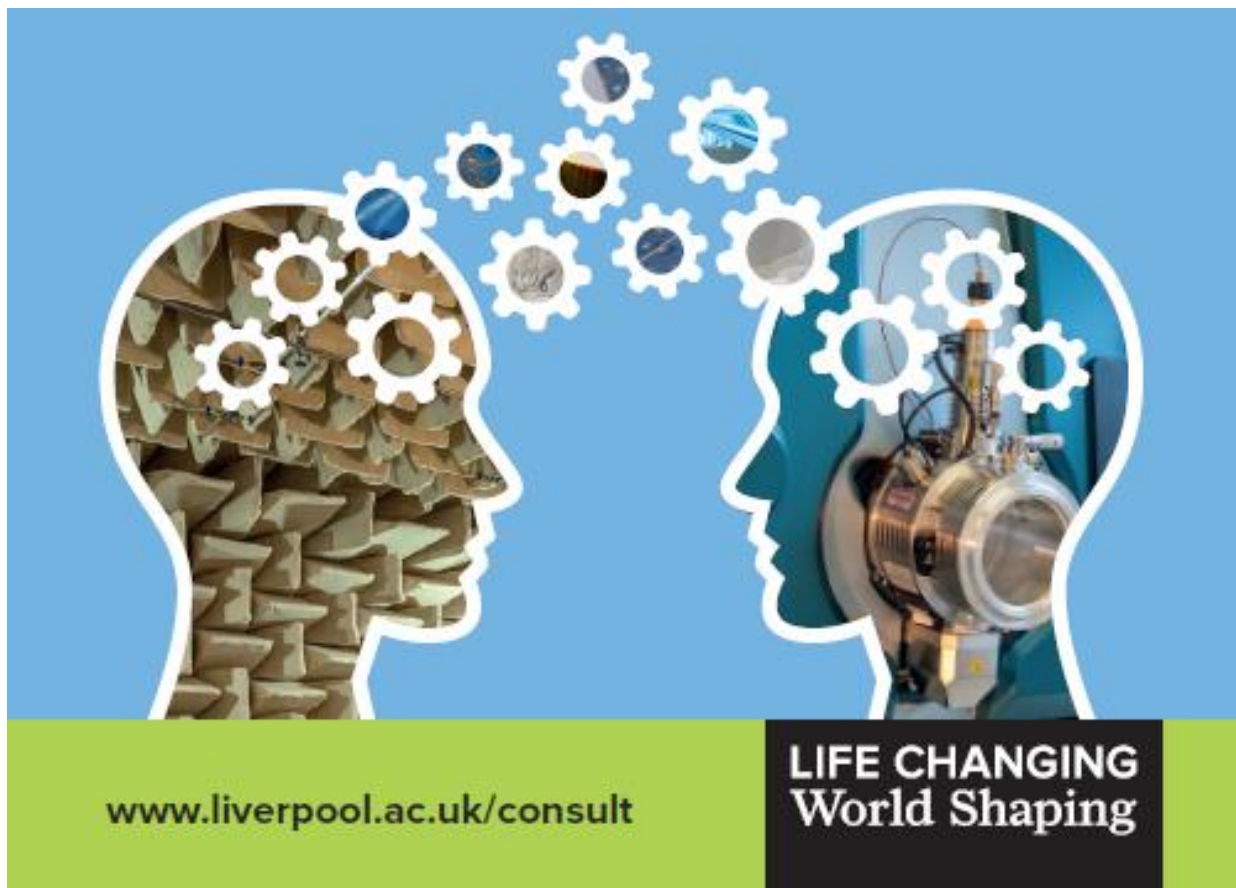


CONSULT

Guidance for Research & Finance teams



www.liverpool.ac.uk/consult

LIFE CHANGING
World Shaping

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1. Quick Guide

The University of Liverpool supports staff to engage in consultancy as it is an important tool to help generate impact from our research. This guide provides an overview of the consultancy process and the CONSULT system.

Your role

Research and Finance (R&F) teams play an important part in supporting consultancy projects and their progression through the CONSULT system and are responsible for:

- Checking costs for projects are correct and adding any non-staff project costs to the costs automatically generated by the system (section 6).
- Raising invoices for consultancy projects and ensuring the correct account codes are used and income goes to the appropriate cost centres, or is channelled via payroll (section 7).
- Where appropriate, directing staff members to the consultancy team and the CONSULT system with any issues or queries.

Overview - what you need to do?

When a consultancy project is recorded on the system by a staff member from your School/Institute you will receive email notification. You then need to log into the system at www.liverpool.ac.uk/CONSULT to check the details of the project and submit costs.

Staff costs will be calculated automatically, however, you may need to include any non-staff costs in addition. If no additional costs are specified by the applicant, you can submit the costs as they are. If additional costs are mentioned then please add these, or liaise with the staff member leading the project to determine further details (see section 6).

Once you have submitted costs the applicant will need to log into the system again to add some final project details such as the price they wish to charge, how they want to allocate the income and to submit the project for approval. Once the project is approved the Consultancy Team will work with the applicant and external organisation to negotiate the contract. You will be notified when the contract has been finalised as it will be your responsibility to invoice for the work carried out in due course (section 7).

You can log into CONSULT at any time to see all the projects that have been logged within your area and all the details currently available for each one.

Please do not hesitate to contact the Consultancy Team should you have any questions or require support at any point in the process. We are hopeful that the new system will be clear and intuitive and will help speed-up the costing process, minimising the time required from you.

Consultancy Team contact details:

Dr Sonja Vujovic, Head of Consultancy and Partnerships, sonja.vujovic@liverpool.ac.uk ext **48343**
Dr Susan Kenny, Senior Consultancy Business Manager, susan.kenny@liverpool.ac.uk ext **55468**
Kelli Cassidy MBA, Consultancy Business Manager, kelli.cassidy@liverpool.ac.uk ext **48341**

2. Consultancy policy

The University's Consultancy Policy sets out the guiding principles for staff engaging with consultancy, or providing facility and equipment services and can be found on the Consultancy intranet pages if needed www.liverpool.ac.uk/intranet/consultancy/consultancy-policy/

In most cases, staff undertaking Consultancy can choose whether to do so on an:

- **Institutional** basis - the project is fully supported through the University, or
- **Private** basis - the work is carried out at arm's length to the University at the individual's own risk.

The main difference between the two options are highlighted in the table below:

Institutional	Private
Contract is between the University and the external organisation.	Staff member sets up contract in a personal capacity with external organisation and is personally liable for the work.
Work covered by University insurance.	Work is carried out entirely at staff member's own risk and they are responsible for arranging their own insurance.
Benefit from Professional Service support for credit-checking, costing, contract negotiation, pricing advice and invoicing etc.	Staff cannot use the University's resources or benefit from Professional Services support.
Can chose if net income stays within cost-centre to support research/teaching activities, paid via payroll (subject to approval) or a mix of both.	Staff are responsible for invoicing and paying any associated tax and national insurance themselves. Income will not come into the University.

In either case, the project must be registered and approved through **CONSULT** in advance of the work being carried out.

3. CONSULT overview

What is CONSULT?

CONSULT is the University's online approval and facilitation system which underpins the policy and streamlines the support process for staff when they are working with external organisations on consultancy or facility and equipment-related service projects.

CONSULT will automatically alert R&F teams via email when a new project has been recorded. Project costs (staff time and other costs to the University), credit check of external organisation, insurance information, income allocation and approvals are recorded through CONSULT. You can see all of the projects within your School/Institute and all information related to a project as it becomes available e.g. a copy of the contract which will contain information relating to payment terms and possible invoicing dates.

Benefits of using CONSULT

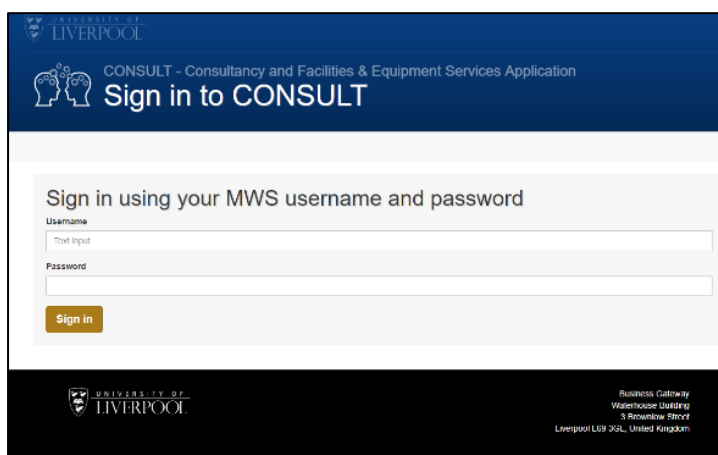
Staff should record their project in advance of work commencing. Projects only need to be recorded by one individual (usually the project lead) who can then include all staff members involved. Individuals who have been added to a project (but not recorded it) will be able to log in to CONSULT at any time to see the details.

If you need to ask staff to record their project, it is often useful to highlight the benefits which include:

- Automates requests for project approval from Level 1 or 2 head
- Ensures projects carried out through the University can be covered by insurance
- Gives staff access to professional service support for:
 - Credit-checking external organisations to ensure we receive the income for their work
 - Costing projects and invoicing
 - Support with engaging with the external organisation, pricing advice, contract review and negotiation
- Allows for reporting and recognition and ensures the income is captured appropriately

Accessing CONSULT

CONSULT can be accessed directly www.liverpool.ac.uk/CONSULT or through the Research and Knowledge Exchange section in TULIP



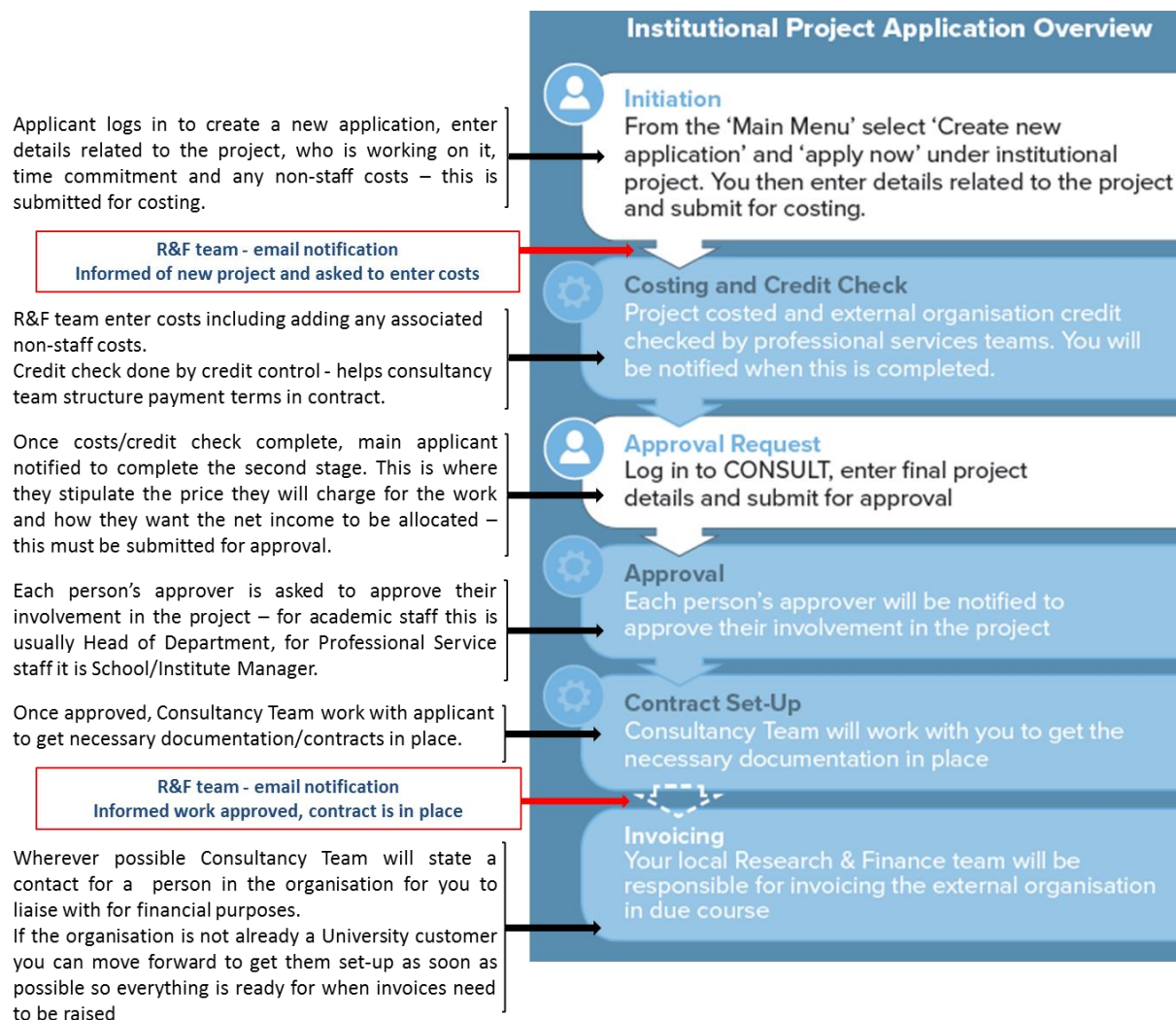
Log in using your normal username and password (Managed Windows Services).

If you experience any technical difficulties please contact CSD Service Desk

4. CONSULT process

Institutional projects

The diagram below explains the overall process for projects being carried out on an institutional basis. For applicants (shown in the white sections in the below diagram) it is a 2 stage process; first the **Initiation stage** is completed which triggers the costing process. Once costs are submitted by you, the applicant is automatically notified and asked to complete the **Approval Request** stage.



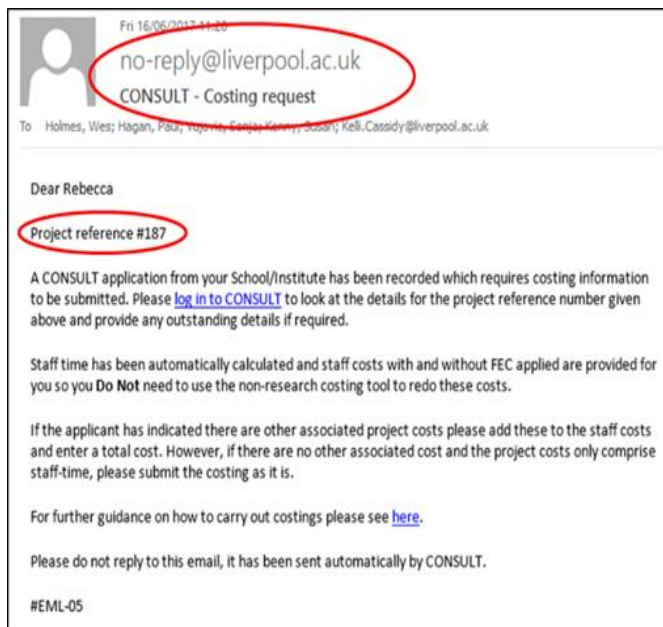
Overview of the CONSULT process for projects carried out on an Institutional basis.

R&F team notification emails received from CONSULT

Throughout the process you will receive 2 automated emails at the stages highlighted in red above. These will contain a link to CONSULT and will be sent from no-reply@liverpool.ac.uk

Each project is given its own unique project reference number which will stay with it through the entire process and will also be used by you for invoicing purposes (section 7). The emails will inform you of the project reference number.

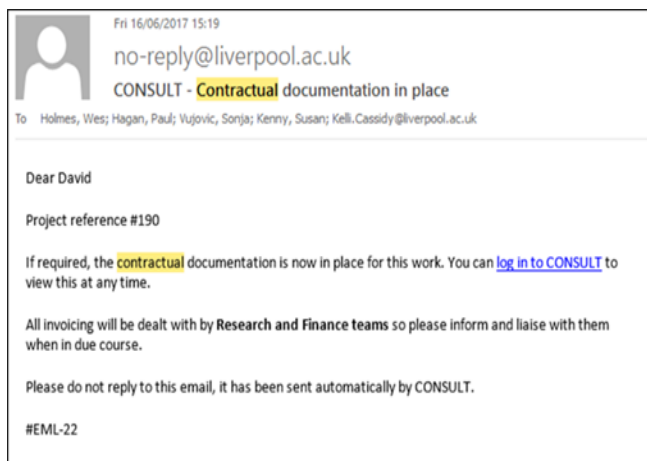
Email 1: CONSULT – Costing request



When a member of your School/Institute records a project on an institutional basis you will receive an email asking you to submit costs and if required, work with them to calculate any non-staff costs (e.g. consumables, travel, payment to sub-contractors etc) (see section 6 for further details related to the costing process).

Reminder emails will be sent every 3 working days until actioned and costs submitted by R&F team. The applicant receives an email notifying them that the project is currently being costed by their R&F team and to get in-touch with you if needed.

Email 2: CONSULT – Contractual documentation in place



Once the CONSULT process has been completed and the Consultancy Team have 'closed' the record you will be notified. The project may well be ongoing for a while and the financial aspects including invoicing will still need to be dealt with by R&F teams in due course.

When the Consultancy Team closes the CONSULT record every effort will be made to obtain a contact for finance purposes from the client for R&F teams to liaise with.

Any invoicing details and helpful/relevant information will be entered by the Consultancy Team in the comments section at the bottom of the record.

If the external organisation is not already a University customer you can set them up as soon as you are able – this can be done in advance of the first invoice needing to be raised.

NB. You can log in to CONSULT at any time to view project details as they become available.

Private projects

As Professional Services are not involved in supporting projects carried out on a private basis you will not be notified and shouldn't be asked to help staff cost projects not being conducted through the University.

For staff recording a private project it is a one-stage process which, once submitted, goes directly to their approver to action. CONSULT makes it very clear to staff what their obligations are when working on a private basis.

A private project means something very different to an institutional project where staff want to opt to take money via payroll. If there is any confusion with this the Consultancy Team can advise and further information can be found within Appendix D and on the consultancy intranet site.

5. What you see when you log in to CONSULT

When you log in to CONSULT, any projects requiring your action will be easily identified under the section '**Costing requiring completion**'.

Clicking the [View](#) button will enable you to see details of the project and information relating to costings. You can enter any additional non-staff costs and submit the costing as described in section 6.

Projects within the '**Costings already completed**' section means they have already been actioned and costs have been submitted. You can click the [View](#) button to see these details and other project details as they become available through the CONSULT process.

CONSULT - Consultancy and Facilities & Equipment Services Application

Your Applications

Project filter **Search** Signed in as Mr Ian Roberts [Sign out](#)

Create new application **View your CONSULT profile**

Costings requiring completion

CONSULT ref.	Service	Applicant	Project start date	CONSULT stage	Last activity on CONSULT	
148	Consultancy	Prof Rob Van 'T Hof	31/03/2017	Costing and credit check	31/03/2017	View
140	Consultancy	Prof John Wilding	30/03/2017	Costing and credit check	30/03/2017	View
126	Consultancy	Prof John Wilding	03/03/2017	Costing and credit check	03/03/2017	View

Costings already completed

CONSULT ref.	Service	Applicant	Project start date	CONSULT stage	Last activity on CONSULT	
127	Consultancy	Prof John Wilding	03/03/2017	Costing and credit check	03/03/2017	View

The 'Search' function can be used to look-up a specific project number, member of staff etc.

You can see what stage of the CONSULT process a project is currently at by looking at the 'CONSULT stage' column which refer to the stages explained below:

CONSULT stage	Meaning
Initiation	Applicant hasn't submitted the application just saved it meaning that it hasn't been sent for costing yet. They need to 'submit for action'.
Costing & credit check	Project is waiting for costs to be entered and/or credit check to be done.
Apply for approval	Applicant needs to complete the second stage of the CONSULT process in which they specify the price and income allocation and submit the project for approval.
Awaiting approval	Applicant has submitted project and is awaiting approval.
Approval not granted	Applicant has been notified project hasn't been approved.
Awaiting contract	Consultancy team working with applicant and external organisation to put any required contractual documentation in place.
Contract completed	CONSULT process is complete. However, projects could be ongoing and the R&F team financial responsibilities (discussed in section 7) will need to be completed.

CONSULT stages

6. Costing projects

Staff costs

When you receive the first email notification from CONSULT informing you a new project has been recorded and requires your action, log in and you should see this listed under the 'Costing requiring completion' section. Click the [View](#) button to review the information provided by the applicant.

Under 'Team information' you will see who is working on the project, their estimation of the time required to carry out the work and if they are staff (STA) or a post-graduate student (PGR). The individual's staff or student number will also be provided. If the applicant is working with individuals in a different School/Institute you will also see these e.g.

Team information 	
Amy Ball	1 day per week for 2 weeks - PGR - None - 200763815
Andrew Johnston	1 day per week for 2 weeks - PGR - None - 201205370
Prof John Wilding	1 hour per week for 4 weeks - STA - Eye and Vision Science - 302494

All costs for staff time are automatically calculated within CONSULT.

Staff costs are based on actual salary costs to the University and are calculated using the time allocation applicants have entered in stage 1 of the process. If postgraduate students or honorary staff are involved these individuals will be flagged up to you and costs for their time will be included as described below.

You will receive a total value for staff costs (FEC and Non-FEC) for all individuals who have been recorded as working on the project.

Costing details (#162424) 

Does a costing model apply (e.g. cost per sample), which already accounts for staff time? 

☐ Yes ☒ No

Staff costs, excluding FEC 

5299.00

Staff costs, including FEC 

8223.96

Non-staff costs, if applicable 

0.00

Total costs (staff costs, including FEC + other costs)

8223.96

Suggested fee including profit (optional) 

0.00

Comments

Submit costing

Exit without saving

You will be responsible for submitting the costing once you have calculated any other associated project costs and/or applied a relevant costing model identified by the applicant.

Adding other project costs (non-staff costs)

Under the 'Additional costing information' section you can see if the applicant has stated if any non-staff costs* need to be calculated and included in the overall total cost.

If they have said there are no non-staff costs and the only cost to the project is staff time, you can simply press the  button which will move the project onto the next CONSULT stage.

Additional costing information ?	
Cover required for contracted duties	No
Non-staff costs to the University	No
Non staff cost details	None
Fee already agreed with client?	None

However, if the applicant has answered 'yes' and there are other non-staff costs to be included they should also have given an indication of what they are. If this isn't clear you will need to have a conversation with the applicant to get a better understanding of what needs to be included.

Once you have calculated any other associated costs you can simply enter these into the 'Non-staff costs' box. The 'Non-staff costs' will automatically be added to the automated staff-costs and a total cost will be given in the 'Total costs box'. Once this is done simply press the  button.

E.g. in the example below £2000 for travel not already covered by the client needs to be included plus £600 for a sub-contractor who the PI is working with to deliver the project. In this case £2600 would be the non-staff costs and will need to be added to the 'Non-staff costs' box.

Additional costing information	
Will there be any non-staff costs to the University?	Yes
Details	travel £2000 sub-contractor £600

**Examples of non-staff project costs could include charges for use of facilities, equipment (charge for use of individual items of University equipment e.g. spectrometer, microscope, sequencer, DEXA scanner), cost of purchasing/hiring equipment, tools, software, hardware, consumables, purchase of data, licenses, vehicle hire & running costs, travel, accommodation and subsistence etc.*

Postgraduate students

If a postgraduate student is involved in a project this will be flagged and a yellow box with further information will appear under the 'Costing details' section. Costs for post-graduate students have been standardised for consistency and they are automatically costed at grade 6, spine point 27 (approx. £20/hr). FEC is not applied to student costs. There are no actions for you to take, this is for information only.

Costing details (#162641) ?

A student has been costed on this project using the standard rule of grade 6, spine point 27 - no overheads have been added to the student cost.

Does a costing model apply (e.g. cost per sample), which already accounts for staff time? ?

☐ Yes ☒ No

Staff costs, excluding FEC ?

707.00

Staff costs, including FEC ?

1180.24

While postgraduates are costed in this way the price the external organisation pays for their involvement can be variable and we often charge higher than this depending on market rates. If the Applicant agrees that the student should be paid for their contribution and this is covered by the fee this should be possible.

Honorary staff

Although this is a rarity, if an honorary staff member is involved in a project this will also be flagged in a yellow box which will contain some further information. As honorary staff are not on the University's payroll, no staff costs will be associated with them or included in the automated costs provided – however, estates and indirect costs will be included.

Costing details (#162645) ?

An honorary member of staff is working on this project with no staff cost associated with them as they are not on UoL's payroll. Estates and indirect costs have been applied. Please ensure applicant is aware of this e.g. by stating this in the comments box. Get in touch with the Consultancy team if required.

You can clarify this to the applicant by writing in the comments box that the costs do not include honorary staff time so if they are using the costs to help determine the price to charge they need to take this into consideration and, if required add a fee for the honorary staff to the costs.

If an honorary member of staff records a project we do ask that they contact the consultancy team in the first instance so we can discuss the project with them, particularly in relation to how they want the income to be handled as payments via payroll are not straightforward.

Costing model

If the project involves something which has a costing-model in place e.g. for a piece of equipment where a set price for sample analysis has been established, you have the ability to override the automated staff-costs provided. If a model applies which already includes staff-time under the 'Costing details' section where you are asked if a costing model applies you can answer 'yes'.

Costing details (#162424) ?

Does a costing model apply (e.g. cost per sample), which already accounts for staff time? ?

☒ Yes ☐ No

Total cost ?

0.00

Comments

Once you do this the box will change and allow you to add a total cost instead e.g. if the model is based on a per sample charge of £50/sample and the project involves analysing 100 samples you can simply add £500 as the total costs. There is also a

comments box where you can add any relevant information which might be useful for the applicant and/or the approver.

Suggest fee – pricing guidance and advice

You have the option to provide a suggested fee e.g. if the applicant has informed you they would like to add a 30% profit to the calculated costs to determine the fee they will charge for the service. However, this is an optional box which doesn't have to be completed.

Consultancy is different from research in that cost can inform price but doesn't necessarily dictate it, and the price the external organisation is charged is entirely flexible and left at the applicant's and approver's discretion. Price is determined by market rates, demand, and the other benefits to the University in carrying out the work. In general Consultancy prices are in excess of FEC, but may be less if we are performing work for a charity for example. If you are aware of any staff member who requires advice on market rates or the price they should charge for their project, please contact the Consultancy Team.

7. Invoicing

It is the responsibility of R&F teams to invoice for all projects recorded on CONSULT. When working with academic staff, the Consultancy Team are wherever possible informing them to get in touch with their R&F team in due course when invoicing is due. If you can do the same we can work together to ensure we do not miss any income due to the University for these activities.

Accessing contractual documentation and invoicing details from CONSULT

Once the Consultancy Team have closed a CONSULT project application you will be notified via email. If you need to refer to the contract for this project at any time, log into CONSULT, click the

View

button and you will see this under the 'Contract' section at the bottom of the page.

If a project has set invoicing dates outlined in the contract, the Consultancy Team will specify these dates when closing the CONSULT record by writing them in the comments box for you to incorporate into your processes e.g. in any spreadsheets you keep on invoices due or as a flag in Outlook.

The Comments section will also include any information which might be useful, including (where possible) a finance contact for you to contact for setting the organisation up as new customer, invoicing, etc.

Contract	
Signed contract value	£5000
Contractual start date	16/06/2017
Contractual end date	23/06/2017
Contract documents	Consultancy Agreement_short form.docx
Application closed by	Dr Susan Kenny
Comments	invoices should be sent to mrsmith@AZ.com after the meeting on 20th June 2017

Setting up organisations as new customers

If the external organisation is not an existing customer to the University then you can move forward to get them set-up in the usual way as soon as you are able. A good time to do this would be once you have received the second email from CONSULT informing you that the Consultancy Team have closed the CONSULT record. This way once invoicing is due everything will be in place and ready to go.

If you log in to CONSULT and **View** the details of the project, under the 'Credit checking' section you will see information entered by credit-control in order to get a quick indication if the organisation is an existing customer. If so, you will see their Agresso account number and if a purchase order is required.

Credit checking	
Type of client organisation	Non-commercial (NC)
Client credit rating	Medium risk
Implications for proposed service	Pending
Existing customer	Yes
Agresso account number	4586247433
Purchase order	Yes

NB. If the organisation is already a customer please do check that these details correspond to the company details/ specific division of the company you will be required to invoice.

If they are not an existing customer this will be made clear and you can then make contact with the organisation to get the ball rolling with this.

Credit checking	
Type of client organisation	Commercial – non-SME (COM)
Client credit rating	Medium risk
Implications for proposed service	None
Existing customer	No

If the Consultancy Team will have been able to obtain contact details for the relevant person in the organisation to be contacted for finance purposes, if you click the [View](#) button, go to the bottom of the page and under the 'Contact' section in the comments box details will be found here.

Capturing information in Agresso

When invoicing for CONSULT projects it is important to use the correct account codes to raise invoices which are:

6772 – Consultancy income

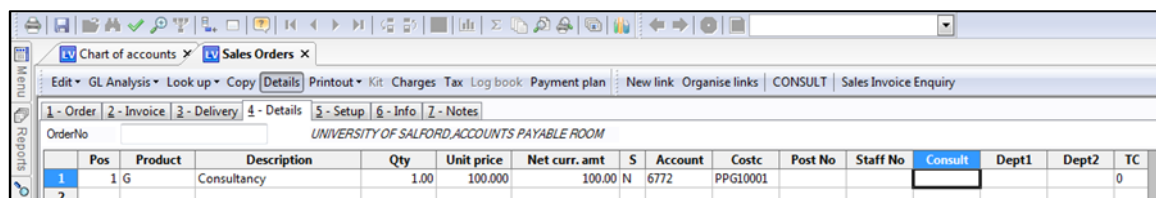
6782 – Facilities and Equipment Services

6783 –Public and Professional Services

(Please see FAQ section below for definitions of these activities).

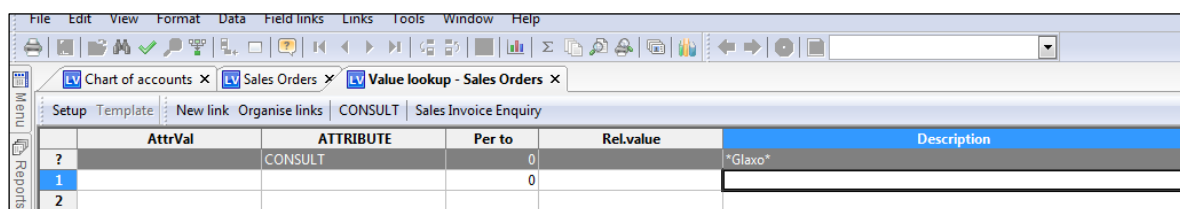
*IF REQUIRED PLEASE **REMEMBER TO ADD VAT TO THE INVOICE AS EXPLAINED BELOW.***

When using the codes above it is **compulsory to add a CONSULT project reference** against the Agresso Sales Invoice transactions in the posting attribute (CONSULT) as shown. As the university has a statutory requirement to report to HEFCE on these activities it is essential that the correct account codes are used and a CONSULT reference number input.



Pos	Product	Description	Qty	Unit price	Net curr. amt	S	Account	Costc	Post No	Staff No	Consult	Dept1	Dept2	TC
1	G	Consultancy	1.00	100.000	100.00	N	6772	PPG10001						0
2														

To select a value, tab to the CONSULT field and use the Agresso search functionality (F9) to display the grey selection row. Enter some information in the Description field relating to the CONSULT reference number you are looking for e.g. *Glaxo* in this example. Press F7 to return the value.



AttrVal	ATTRIBUTE	Per to	Rel.value	Description
?	CONSULT	0		*Glaxo*
1		0		
2				

Results of the search:

AttrVal	ATTRIBUTE	Per to	Rel.value	Description	S
?	CONSULT	0		*Glaxo*	N
1	1060	CONSULT	9999	Sonja Vujovic : Glaxosmithkline PLC : Nov 2014 : Sample analysis	N

Double click on the value to be selected (1060 in this example) and the CONSULT field on the Sales Invoice screen will be populated - the rest of the Sales Invoice can be completed as usual.

Pos	Product	Description	Qty	Unit price	Net curr. amt	S	Account	Costc	Post No	Staff No	Consult	Dept1	Dept2	TC
1	1 G	Consultancy	1.00	100.000	100.00	N	6772	PPG10001			1060			0

What if the CONSULT reference number you are looking for isn't available in Agresso?

There could be 2 reasons:

- Project has not been recorded or submitted on CONSULT
- Project has been costed by R&F team but the applicant has either not yet completed stage 2 or the project hasn't been approved yet. In this case, you can log in to CONSULT and check the stage it is at. If the applicant still needs to complete stage 2 you can ask them to do this or if there looks to be a problem with approval the consultancy team can help.

VAT

With a few exceptions, it is a legal requirement that VAT is charged when we are providing consultancy and service related work and it should be added to our invoices. VAT recovery is a normal activity for most client organisations and it is unlikely to affect the competitiveness of the proposed fee. However, wherever possible please make staff aware that when they are quoting a fee for their services to an external organisation to make it clear to them that VAT will be charged in addition if applicable.

Where the service is provided in the UK, VAT is charged at 20% VAT using code 8. Fees for services provided to organisations based in other EU member state countries may also be subject to VAT. However, providing we have the customers VAT number no VAT should be charged but the customer's VAT number needs to be stated on the invoice along with the following statement: Subject to reverse charge in country of receipt as indicated on the VAT flowchart provided by our Tax Manager, Helen Stephens provided in APPENDIX A.

If you have further queries about VAT or similar taxes, please contact Helen directly on Ext: 50316.

8. Income allocation

The University's policy gives staff the option to choose (subject to any Local Policy Variations and approval) whether the **net** income is retained within a G cost-centre to support further research and teaching activities, or paid to them via payroll (income tax and both employer's and employee's National Insurance contributions will be deducted by payroll) – or they can opt for a mix of the two options.

Where a particular service has been provided by more than one individual, the lead applicant will need to allocate the net income which should generally be apportioned between the 'team' in accordance with their input. This is specified as part of the CONSULT process during stage 2 before being sent for approval.

You can view the income allocation information by clicking the [View](#) button for a particular project. It is found under the 'Team Information' section. In the example below only one person has worked on the project so 100% of the net income is to be allocated to them and retained within a relevant cost-centre. Staff will be asked to give an indication how they plan to spend the funds and can specify a cost-centre to be credited if known.

Team Information	
Team member	Prof Andy Biggin
Time commitment	7 hours per day for 7 days
Email	biggin@liverpool.ac.uk
Department	Earth, Ocean and Ecological Sciences
Prior approval	No
Approver	Prof Andreas Rietbrock
Approval request	Approved
Approver comments	None
Percentage of income allocated	100%
Income destination	Retain in relevant cost centre
Comments	None

Paying consultancy income to staff via payroll

If applicants have chosen to receive income as a personal payment through payroll as in the example below, a 'Request for Payment of Consultancy Income through Payroll' form will need to be completed and sent to payroll@liv.ac.uk. A copy of the form is attached in Appendix C. All you need to do is state the value of the funds available in the cost-centre to be paid as payroll will calculate the amount of tax/NI to be deducted from the payment so you do not need to calculate this. In general, it is good practice to ensure the University has received the payment from the external organisation before proceeding with the payroll request form.

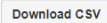
Team Information	
Team member	Prof John Wilding
Time commitment	4 hours per week for 6 months
Email	jwilding@liverpool.ac.uk
Department	Eye and Vision Science
Prior approval	No
Approver	Dr Sonja Vujovic
Approval request	Approved
Approver comments	None
Percentage of income allocated	100%
Income destination	Personal payment via payroll
Comments	None

9. Consultancy versus research activities

Projects should be classed as research and supported via the Research Support Office (RSO) wherever this can be justified. Research is defined under the Frascati definition - please see Appendix B for further information. The prime purpose of research is the generation of new knowledge whereas consultancy involves the application of existing knowledge and usually has goals set by the external organisation we are working with.

If you come across any staff members who need help determining how to classify a project, the Consultancy Team can help. We will discuss the project with RSO and communicate back to you and the staff member.

10. Reporting

There is a  button so you can download lists of projects in your area from CONSULT itself. However, if you or your School/Institute require more detailed reports at any point please contact the Consultancy Team as they will be happy to provide them for you. In the longer term, reporting will be done via Business Intelligence (BOXI) from where we will produce reports for you.

Further information

Further information can be found on our intranet site www.liverpool.ac.uk/intranet/consultancy/

APPENDIX A – VAT flowchart for consultancy and service related projects

For VAT purposes Consultancy is where the University is paid to provide:

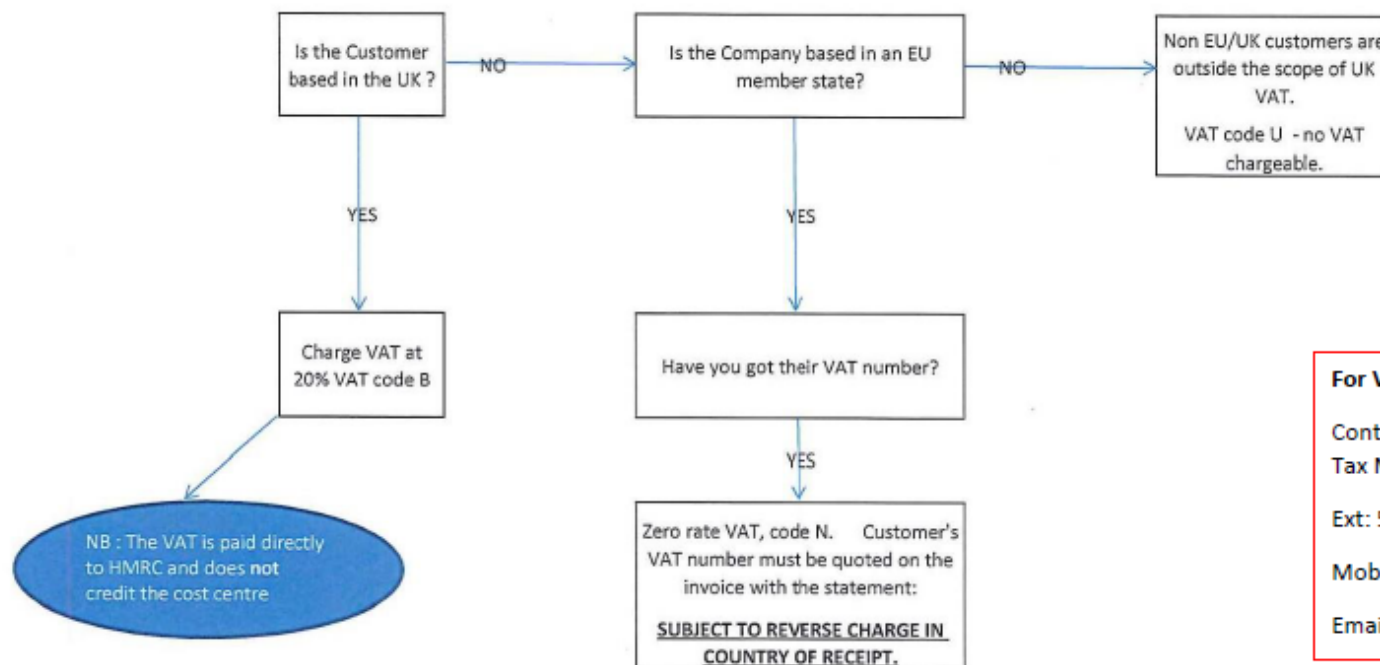
Expert Opinion

Analysis

Testing

Product development

Design of bespoke courses



For VAT advice

Contact: Helen Stephens,
Tax Manager

Ext: 50316

Mobile: 07505 628757

Email: vat@liv.ac.uk

Recovery of VAT incurred on costs

In all of the cases above any input VAT incurred on costs is recoverable from HMRC and as such the cost centre should be set to tax system FR.

APPENDIX B - Distinguishing between Consultancy and Research projects

	Research	Consultancy
Does the project fit the Frascati definition of Research (provided below*)?	Yes	No
Does the project generate new knowledge?	Yes	No, makes use of, and applies existing knowledge
Does the project involve experimental studies?	Yes	No but may involve the application of standard techniques including measurements, analysis or testing
Is the project to address a specific problem/ deliver a specific outcome or is it hypothesis driven?	Usually hypothesis driven	Addressing a specific problem or outcome
Who sets the project goals?	University and/or client	Client
Does the project employ staff?	Often yes	No
Will the project lead to a publication?	Yes	Not usually
What are the timescales/ time commitment?	Any length of time	Usually short term (less than 3 months) or small time commitment over longer time period (e.g. 10% of time for 1 year)
Examples of typical projects	Any hypothesis driven project generating new knowledge and results – could be funded by charities, research councils or industry.	- Supply of expert advice or opinion - Policy reviews - Feasibility studies - Invited talks to external organisations - Expert witness work in courts - Role on scientific advisory board for company - Analysis which includes advice and interpretation of results (if no interpretation is required than this activity should be classed as Facilities and Equipment Services)

*** Research and experimental development (R&D) comprise creative work undertaken on a systematic basis in order to increase the stock of knowledge, including knowledge of man, culture and society, and the use of this stock of knowledge to devise new applications.**

The term R&D covers three activities: basic research, applied research and experimental development:

- Basic research is experimental or theoretical work undertaken primarily to acquire new knowledge of the underlying foundation of phenomena and observable facts, without any particular application or use in view.
- Applied research is also original investigation undertaken in order to acquire new knowledge. It is, however, directed primarily towards a specific practical aim or objective.
- Experimental development is systematic work, drawing on existing knowledge gained from research and/or practical experience, which is directed to producing new materials, products or devices, to installing new processes, systems and services, or to improving substantially those already produced or installed.

Appendix C. Request for Payment of Consultancy Income through Payroll Form

Request for Payment of Consultancy Income through Payroll

Please complete this form for projects that have been fully approved through CONSULT and payment needs to be paid to the employee via the payroll. Once the form is completed please email it to payroll@liv.ac.uk

Details of consultancy payment

Staff Surname :	
Staff Forename:	
Staff number:	
Cost centre from which funds should be taken :	
Value of funds to be transferred (including employer NI costs):	
Payroll – Please note that the payment detailed above is inclusive of employer NI costs and the value paid to the employee is the gross value less employer NI costs, the payment is subject to income tax and national insurance only, pension is not payable on this payment.	

I confirm that this allocation of funds through payroll has been approved by the Head of Department/ School on the CONSULT system via CONSULT project number: _____

Signed: _____

Name: _____

Role: _____

Date: _____

APPENDIX D: FAQ,

Consultancy Policy

1) What is consultancy?

Consultancy is defined as the provision of expert advice and work, which is dependent on a high degree of intellectual input. It is unlike research in that it does not have as its prime purpose the generation of new knowledge. Consultancy is an important form of Knowledge Exchange (KE). For more details of University definitions go to:

<https://www.liv.ac.uk/intranet/consultancy/consult-policy/definitions/>

2) What are Public and Professional services?

Public and Professional Services are a special type of consultancy involving the provision of information or advice to boards, committees or panels of charitable, governmental and other public bodies. Public and Professional Services are classed as a separate category because they may need to be handled differently in terms of contract requirements.

3) What are Facilities and equipment services (F&ES)?

Facilities and Equipment Services involve the use of the University's physical resources (especially scientific/technical resources) by or for an external organisation.

4) How is consultancy distinguished from facilities and equipment services?

Where the service simply involves staff 'routinely turning the handle', it should be classed as a **facilities/ equipment service**. Where the work needs to be guided or facilitated by a member of academic or technical staff who provides a high degree of expert knowledge, the service should be classed as **consultancy**.

5) How is Consultancy distinguished from Research?

The prime purpose of research is the generation of new knowledge whereas consultancy involves the application of existing knowledge. Projects should be classed as research wherever this can be justified. Consultancy usually has goals set by the client and outputs often belong to client.

For further definitions please see <https://www.liv.ac.uk/intranet/consultancy/consult-policy/definitions/> and refer to APPENDIX B below

6) What is the difference between carrying out a project on an institutional or private basis?

'Institutional' means that the project will be contracted through the University and invoices will be issued by the University. Institutional projects benefit from professional services support for costing, contracts and billing as well as the university insurance & indemnity cover. Staff have the option to spend the net income on further teaching/research activities, or (subject to approval) have it paid to them via payroll, or a mix of them both.

'Private' means that the staff member(s) will contract directly with the client and the income will **not** come to the University so they cannot take it via payroll. Operating on a private basis

means that staff are responsible for securing their own insurance and legal services, informing the client that they are operating privately, and paying all tax due to HMRC. Facilities and equipment services must be provided on an institutional basis.

7) *What is dispensation and how do applicants get it?*

Dispensation is a written document (e.g. email/ letter) from the applicant's approver stating that they are happy for the applicant to carry out certain projects. Dispensation can be limited to a specific client (e.g. Volvo only), timeframe (e.g. for 12 months) or type of activity (e.g. all equipment use for the microscopy suite). If an applicant has dispensation, they will still be required to record their project on CONSULT and their approver will be informed about the project but not asked to provide approval.

8) *How can funds obtained through consultancy/ facilities and equipment services be used?*

Staff providing consultancy on an institutional basis may determine whether the net income should be:

- spent in support of research or teaching, or
- taken as a personal payment via payroll, or
- split between the two.

CONSULT

1) *How will I know if a colleague has already entered costs on CONSULT for a specific project?*

If you click on the link in the email sent to you by the system and log in to CONSULT, you will be able to see if the project in question is still waiting to be costed as it will appear in the 'Costings to be completed section'. If costs have been submitted the project should be in the 'Costings already completed' section.

2) *I need to update project costs*

If there is a substantial change to staff time or the individuals working on the project then the **applicant** will need to roll the project back to stage 1, make the changes and resubmit for costing. You will then receive new automated staff costs to which you can add any non-staff costs as appropriate.

3) *What if the CONSULT reference number I am looking for isn't available in Agresso?*

There could be 2 reasons:

- Project has not been recorded, or submitted on CONSULT
 - Project has been costed by R&F team but either the applicant has not yet completed and submitted stage 2 or the project hasn't been approved yet. In this case, you can log in to CONSULT and check the stage it is at. If the applicant still needs to complete stage 2 you can ask them to do this or if there looks to be a problem with approval the consultancy team can help.
- 4) *I would like the automated CONSULT emails to be sent to a new/different R&F team member (i.e. new staff, or a change in allocation of work), how do I update CONSULT notifications?***

If you want to change staff responsible for submitting costs for projects recorded on CONSULT in your School/Institute please contact the Consultancy Team who will be able to amend details accordingly.

5) Where can I find invoicing information?

Section 7 above provides invoicing guidance. In brief, the Consultancy Team will include as much information related to invoicing (a contact for invoicing, invoice totals, and invoice due dates) when closing a CONSULT record. This can be found in the comments box.

6) How do I provide estimated costs for staff members outside of CONSULT?

You can provide notional FEC & Non-FEC costs using the Non Research Costing Tool found in TULIP. If you require actual costs or professorial rates, please contact the Consultancy Team.

7) Can we view/upload invoices to CONSULT?

Unfortunately, CONSULT does not offer this type of repository at this time.

8) How do I estimate the price to charge versus the cost?

If the staff member has indicated a percentage of profit they would like have added to the cost, please simply calculate the price they would like to charge. If you are being asked for pricing advice generally and you're unsure what is appropriate, please contact the Consultancy Team who can provide you with support.

Other related FAQs

1) Subcontractors and Determination of Employment (DoE) Status process and forms

If a consultancy project requires an external individual or other organisation to carry out part of the services (a subcontractor), where possible the Consultant Team will work with the lead applicant to put in place subcontracts for their service. Before any subcontracts *with individuals* are agreed, a DoE form must be reviewed, completed and approved by payroll. The Consultancy Team will prepare the form and send this to the individual to review and sign. Once completed, the Consultancy Team will return this to payroll for approval. All completed forms and approvals will be shared with the R&F teams so they can then move forward to get them set up as a new supplier in the usual way.